



Ask Your Neighbor

Consider the following Cobb-Douglas Production Function:

$$Y = zK^{\alpha}N^{\beta}$$

where

$$\begin{aligned}\alpha + \beta &= 1 \\ \alpha, \beta &\geq 0\end{aligned}$$

If N increases, what will happen to GDP (Y)?

- A. The marginal productivity of N (MPN) will be positive and rise as N rises
- B. The marginal productivity of N (MPN) will stay positive but fall as N rises
- C. The marginal productivity of N (MPN) will be negative and get more negative as N rises
- D. The marginal productivity of N (MPN) will stay negative but get less negative as N rises



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Consider the following Cobb-Douglas Production Function:

$$Y = zK^{\alpha}N^{\beta}$$

where

$$\begin{aligned}\alpha + \beta &= 1 \\ \alpha, \beta &\geq 0\end{aligned}$$

Then, all other things being equal, we know that

- A.* $3 \cdot zK^{\alpha}N^{\beta} > z(3K)^{\alpha}(3N)^{\beta}$
- B.* $3 \cdot zK^{\alpha}N^{\beta} < z(3K)^{\alpha}(3N)^{\beta}$
- C.* $3 \cdot zK^{\alpha}N^{\beta} = z(3K)^{\alpha}(3N)^{\beta}$
- D.* Any of the above